

Occupational Health, Safety & Security Policy

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1. PURPOSE AND SCOPE

1.1 Zero-Harm Vision

HCSA is committed to achieving zero harm across all operations through proactive hazard identification, systematic risk management, and fostering a culture where every person has the authority and responsibility to stop unsafe work.

1.2 Scope

Applies to all employees, Contractors, visitors, and third parties on HCSA-managed sites within Pulau Ulu.

1.3 Safety Culture Principles

- **Leadership commitment:** Management demonstrates visible and active commitment to safety by leading by example and prioritizing safety in all decisions and actions.
- **Worker participation:** Front-line workers are empowered and encouraged to actively identify hazards, report concerns, and contribute to implementing effective safety controls.
- **Stop-work authority:** Any individual has the authority and responsibility to stop unsafe work without fear of reprisal until the hazard is properly addressed.
- **Continuous improvement:** Learning from incidents and near-misses to prevent recurrence

- **Accountability:** Clear safety responsibilities are assigned at all levels, with appropriate consequences for non-compliance.

2. REGULATORY COMPLIANCE FRAMEWORK

2.1 Statutory Requirements

All operations must comply with workplace safety and health regulations equivalent to Pulau Ulu's Workplace Safety and Health Act framework:

- **Duty of Care:** Ensure a safe workplace and safe systems of work for all employees, contractors, and affected persons.
- **Risk Assessment:** Conduct risk assessments for all activities and implement documented control measures before work commences.
- **Registration Requirements:** Register factories and construction sites with the relevant authorities prior to operation.
- **Incident Notification:** Notify authorities of dangerous occurrences and fatalities within the prescribed statutory timeframes.
- **Safety Supervision:** Appoint competent safety supervision personnel for construction sites with contract values exceeding \$10 million or workforce strength exceeding 100 workers.

2.2 Best Practice for Compliance Monitoring

- **Annual External Compliance Audits:** Comprehensive compliance audits shall be conducted annually by independent certified safety auditors to assess adherence to applicable statutory requirements, HCSA regulations, and internal HSE standards.
- **Quarterly Internal HSE Audits:** Internal audits shall be conducted quarterly by the Contractor's HSE Department or an equivalent independent function to verify ongoing compliance with safety procedures, risk controls, permit-to-work systems, and training requirements.
- **Maintenance of Statutory and Regulatory Approvals:** All required statutory registrations, licenses, and certifications, including but not limited to factory

registration, lifting equipment permits, and crane certifications, shall be valid, up to date, and readily available for inspection at all times.

- **Escalation of Non-Compliance:** Any significant regulatory breach, audit finding classified as critical, or material safety non-compliance shall be escalated to the Contractor's CEO (or equivalent senior executive) within 24 hours, together with an immediate corrective action plan.

3. RISK ASSESSMENT AND CONTROL HIERARCHY

3.1 Mandatory Risk Assessments

Risk assessments required for:

- **Pre-Construction:** For all construction activities prior to commencement of work.
- **New Processes or Equipment:** When introducing new processes, machinery, or equipment into operations.
- **Changes in Work Conditions:** When there are changes to work methods, materials, or site conditions.
- **Post-Incident Review:** Following serious incidents classified as Level 1 or Level 2.
- **Annual Review:** Once every year for routine or ongoing operations to ensure control measures remain effective.

3.2 Control Hierarchy (mandatory sequential application)

1. **Elimination:** Remove the hazard entirely, where practicable
2. **Substitution:** Replace the hazard with a less hazardous material, process, or equipment where elimination is not feasible.
3. **Engineering controls:** Implement physical measures such as barriers, ventilation systems, isolation, or machine guarding to reduce exposure to hazards.
4. **Administrative controls:** Establish safe work procedures, training, supervision, scheduling, and permit-to-work systems to manage risk.
5. **Personal Protective Equipment (PPE):** Provide and ensure the proper use of suitable protective equipment to minimize exposure when higher-level controls are insufficient.

Risk Assessment Document RA-55: Mandatory for all activities and must be reviewed and approved by the Contractor's HSE Manager or an equivalent authorized personnel prior to the issuance of work authorization.

4. MANDATORY SAFETY TRAINING REQUIREMENTS

4.1 Training by Role Type

- **Executive/Senior Management:** At least one safety programme annually to address safety leadership responsibilities and compliance with applicable legal requirements.
- **Project Managers/Site Supervisors:** Comprehensive annual training covering hazard identification and control, emergency response, and incident investigation.
- **HSE Manager/Safety Officers:** Advanced professional development annually, including technical competencies, regulatory updates, and auditing practices.
- **Site Workers/Operators:** Regular job-specific safety training annually covering workplace hazards, safe work procedures, proper use of Personal Protective Equipment (PPE), and emergency response.
- **Visitors:** Mandatory site safety briefing prior to entry.

4.2 Specialized Training

- **Confined Space Entry:** Confined space safety training covering hazard recognition, atmospheric testing, ventilation requirements, entry procedures, rescue arrangements, and safe use of equipment is required before any confined space work is carried out.
- **Working at Height:** Working at height training covering fall hazards, use of fall protection systems, scaffolding safety, ladder safety, and rescue procedures is required before performing work at height activities.
- **Hot Work Operations:** Hot work training covering fire risk identification, control measures, permit-to-work requirements, use of fire extinguishers, and emergency response is required prior to conducting hot work.

- **First Aid:** First aid training covering CPR, use of automated external defibrillators (AED), treatment of injuries, and emergency response is required, with a minimum of two trained first-aiders for sites with more than 20 workers.
- **Emergency Response:** Emergency response training covering evacuation procedures, fire drills, incident reporting, and coordination with emergency services is required, together with participation in site emergency drills.

4.3 Training Documentation

All training recorded in HSE Training Register (Document TR-60) with certificates retained 7 years. Workers without valid training certificates are prohibited from performing specialized tasks.

5. INCIDENT SEVERITY CLASSIFICATION AND REPORTING

5.1 Severity Levels (escalating consequence)

Level 1: Fatality / Permanent Total Disability

- Death or permanent total disability
- Property damage >\$250,000
- Major structural failure with life-threatening consequences

Level 2: Serious Injury / Dangerous Occurrence

- Injury requiring hospitalization ≥ 24 hours
- Permanent impairment or disability (partial)
- Property damage \$50,000-\$250,000
- Dangerous occurrence with potential for fatality (structural collapse, crane incident)
- Examples: Multiple fractures, severe burns, crush injuries, falls from height with serious injury

Level 3: Restricted Work / Lost Time Injury

- Injury resulting in modified duties OR ≥ 3 days lost time
- Hospitalization <24 hours for observation

- Property damage \$10,000-\$50,000
- Examples: Fractures, deep lacerations, heat exhaustion requiring overnight observation

Level 4: Medical Treatment Injury

- Injury requiring medical treatment beyond first aid
- No hospitalization required
- Work time lost <3 days
- Property damage \$1,000-\$10,000
- Examples: Stitches, sprains requiring physiotherapy, minor burns

Level 5: Near-Miss / Minor First Aid

- No injury OR minor first-aid treatment (band-aids, minor cuts)
- No property damage or <\$1,000 damage
- No work time lost
- Examples: Trip without fall, minor hand cut requiring cleaning only

5.2 Borderline Classification Scenarios

Gray Area: Level 2 vs. Level 3 incidents involving "potential for serious injury"

Some incidents may exhibit characteristics of both levels and shall require review by the Contractor's HSE Manager or equivalent.

Scenario A: Fall from height with minor injury

- **Incident Description:** A worker falls from a height of 3 meters, lands on soft ground, and sustains bruising only.
- **Actual Consequence:** Classified as Level 4 (medical treatment case).
- **Potential Consequence:** Assessed as Level 2 due to the serious injury or fatality risk associated with falls from height.
- **Classification Process:** The Contractor's HSE Manager or equivalent must review and confirm the incident classification within one hour of notification, taking into account the potential severity of the event.

Scenario B: Near-miss with heavy equipment

- **Incident Description:** An excavator bucket swings past a worker without making contact; the worker is shaken but sustains no injury.
- **Actual Consequence:** Classified as Level 5 (near-miss).
- **Potential Consequence:** Assessed as Level 1–2 due to the risk of fatality or serious injury had contact occurred.
- **Classification Process:** The Contractor's HSE Manager or equivalent must review and confirm the incident classification within one hour of notification, taking into account the energy involved and the potential severity of the event.

Scenario C: Chemical exposure with delayed symptoms

- **Incident Description:** A worker is exposed to chemical vapor, reports feeling unwell, and is sent home for rest.
- **Actual Consequence:** Classified as Level 4 (medical treatment case).
- **Potential Consequence:** Assessed as Level 2–3 if the exposure results in serious or longer-term health effects.
- **Classification Process:** The Contractor's HSE Manager or equivalent must review and confirm the incident classification within one hour of notification and may revise the classification following medical evaluation.

Classification Protocol for Borderline Incidents:

1. Contractor's Site Supervisor (or equivalent) shall make an initial classification within 15 minutes of the incident based on the actual consequence observed.
2. If the incident involves potential for serious injury, such as falls from height, struck-by heavy equipment, chemical exposure, electrical contact, or structural failure, it must be immediately flagged for review by the Contractor's HSE Manager or equivalent.
3. The Contractor's HSE Manager (or equivalent) shall review the incident within one hour, taking into account:
 - a) The nature and scale of the hazard involved.
 - b) The possible severity of injury or damage under slightly different conditions.

- c) Relevant past incidents on site or within similar construction projects.
- 4. The Contractor's HSE Manager or equivalent shall issue the final incident classification using Document IC-65.
- 5. Incidents classified as Level 2 or higher shall be escalated in accordance with Section 5.3.

5.3 Incident Reporting Protocol

Level 1 incidents:

- Immediate verbal notification shall be made within 15 minutes to the Contractor's HSE Director (or equivalent) and the Contractor's Deputy CEO (or equivalent).
- HCSA's HSE Department shall be formally notified within 3 days of the incident, or earlier if required by applicable regulations.
- A written incident report shall be submitted within 24 hours using Document IR-62.

Level 2 incidents:

- Immediate verbal notification shall be made within 15 minutes to the Contractor's HSE Manager (or equivalent) and the Contractor's Project Manager (or equivalent).
- The Contractor's HSE Director (or equivalent) shall be notified within 1 hour.
- HCSA's HSE Department shall be formally notified within 14 days of the incident, or earlier if required by applicable regulations.
- A written incident report shall be submitted within 24 hours using Document IR-62.

Level 3 incidents:

- Verbal notification shall be made within 1 hour to the Contractor's HSE Manager (or equivalent) and the Contractor's Project Manager (or equivalent).
- HCSA's HSE Department shall be formally notified within 14 working days of the incident, or earlier if required by applicable regulations.
- A written incident report shall be submitted within 24 hours using Document IR-62.

Level 4-5 incidents:

- The incident shall be documented in the Daily Safety Log on the same day.

- A consolidated weekly report shall be submitted to the Contractor's HSE Manager (or equivalent).
- A monthly summary report shall be submitted to HCSA's HSE Department.

Failure to report an incident may result in penalties, including but not limited to termination of the contract and fines of up to \$500,000.

6. INCIDENT INVESTIGATION PROTOCOLS

6.1 Investigation Trigger and Team

- Level 1-2:** A mandatory investigation shall be conducted by the Contractor's HSE Director (or equivalent), with an external specialist appointed if necessary.
- Level 3:** An investigation shall be conducted by the Contractor's HSE Manager (or equivalent), together with the Contractor's Site Supervisor (or equivalent).
- Level 4-5:** An investigation shall be conducted by the Contractor's Site Supervisor (or equivalent), subject to review by the Contractor's HSE Manager (or equivalent).

6.2 Investigation Methodology

5-Whys Method: Applicable to Level 4 and Level 5 incidents involving simple causation and a single root cause.

- The question "Why?" shall be asked repeatedly to identify the underlying root cause.
- Findings shall be documented using Document 5W-68.
- The investigation shall be completed within three business days.

Root Cause Analysis (RCA): Applicable to Level 1 to Level 3 incidents involving complex causation or multiple contributing factors.

- A structured analysis shall be conducted to identify immediate causes, underlying causes, and root causes.

- Investigation tools may include fishbone diagrams, timeline reconstruction, and witness interviews.
- Findings shall be documented using Document RCA-70.
- The investigation shall be completed within ten business days for Level 1 and Level 2 incidents, and within seven business days for Level 3 incidents.

6.3 Investigation Deliverables

- A formal incident investigation report detailing findings and conclusions.
- Clearly defined corrective actions with assigned responsibilities and specified completion dates.
- Communication of lessons learned to relevant personnel and project teams.
- Updates to risk assessments and safe work procedures where necessary.

7. CONTRACTOR SAFETY MANAGEMENT

7.1 Contractor Prequalification

All Contractors shall achieve a minimum safety score of 70 out of 100 under the Contractor Safety Assessment documented in Document CSA-72. The assessment criteria are as follows:

- Safety policy and management system: 20 points
- Safety performance history (past 3 years): 30 points
- Training and competency systems: 20 points
- Safety resources and personnel: 15 points
- Insurance and compliance: 15 points

Contractors scoring below 70 shall be ineligible for engagement. Contractors scoring between 70 and 79 may be engaged subject to enhanced supervision and additional monitoring requirements.

7.2 Contractor Obligations

- Comply with all HCSA HSE policies, standards, and site rules.
- Conduct daily toolbox talks with a minimum duration of 15 minutes.

- Maintain up-to-date safety training records for all workers and make such records available upon request.
- Report all incidents in accordance with Section 5.3: Incident Reporting Protocol.
- Cooperate fully in all investigations and implement corrective actions as required.
- Permit and facilitate HCSA safety audits, inspections, and compliance reviews.

7.3 Contractor Performance Monitoring

- Safety performance shall be reviewed on a monthly basis.
- Contractors scoring below 70 on the quarterly safety assessment shall be subject to contract review and may face suspension or termination, depending on the severity of deficiencies.

8. SECURITY AND EMERGENCY PREPAREDNESS

8.1 Security Threat Assessment

- An annual security risk assessment shall be conducted for all sites.
- Identified threats shall include unauthorized access, theft, vandalism, workplace violence, and terrorism-related risks.
- A layered security approach shall be implemented, incorporating perimeter controls, access control systems, surveillance measures, and security personnel where appropriate.

8.2 Emergency Response

- An Emergency Response Plan (ERP) shall be established for each site, addressing fire, medical emergencies, natural disasters, security incidents, and pandemics.
- Emergency drills shall be conducted regularly, including quarterly fire drills and an annual full-site evacuation exercise.
- Emergency contact lists shall be maintained, kept up to date, and tested on a quarterly basis.

8.3 Pandemic Preparedness

- Business continuity plans shall include remote work arrangements and operational contingency measures.
- Adequate stocks of respiratory protective equipment shall be maintained.
- Isolation procedures shall be established for suspected or confirmed infectious disease cases.
- All measures shall comply with applicable government regulations and public health requirements.

9. ROLES AND RESPONSIBILITIES

- **The Contractor's HSE Director (or equivalent):** Responsible for overall HSE policy oversight, leading Level 1 and Level 2 investigations, and liaising with regulatory authorities.
- **The Contractor's HSE Manager (or equivalent):** Responsible for site HSE management, incident classification, coordination of investigations, and oversight of training programmes.
- **The Contractor's Project Manager (or equivalent):** Accountable for overall project safety performance and ensuring adequate resources are allocated to meet HSE requirements.
- **The Contractor's Site Supervisor (or equivalent):** Responsible for daily implementation of safety measures, conducting toolbox talks, monitoring site activities, and providing initial response to incidents.
- **The Contractor's Safety Officer (or equivalent):** Responsible for conducting routine site inspections, administering permit-to-work systems, monitoring compliance, and facilitating incident reporting.
- **The Contractor's Workers (or equivalent):** Responsible for identifying hazards, complying with safety procedures, using protective equipment as required, and exercising stop-work authority where necessary.

Document Control:

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